

FIRST SEMESTER DIPLOMA EXAMINATION IN MANAGEMENT

BASIC ACCOUNTING**MODEL QUESTION PAPER –SET-1**

Time: 3 hours

Maximum Marks: 75

PART A**I. Answer all questions in one word or one sentence. Each question carries one mark.****(9 x 1 = 9 Marks)**

1	Define accounting.	M1.01	U
2	Recall the terms sundry debtors and sundry creditors.	M1.02	R
3	State special journals.	M3.01	U
4	Give the meaning of ledger.	M2.03	R
5	Describe the process of journalizing.	M2.02	R
6	List out the different types of errors.	M3.03	U
7	State the meaning of trail balance.	M3.02	U
8	Define financial statements.	M4.03	U
9	State the meaning of adjustment entries	M4.04	U

PART B**II. Answer any eight questions from the following. Each question carries 3 marks****(8 x 3 = 24 Marks)**

1	List out the objectives of accounting.	M1.01	U
2	Explain any three accounting concepts.	M1.02	R
3	State the meaning of the following with examples: i. Fixed assets ii. Current liabilities iii. Provisions	M1.02	U

4	Journalize the following transaction with narration: Purchased goods from Manu on credit 25,000 Goods taken by Ramu for domestic use 3,000 Bought machinery for 18,000	M2.02	A
5	Differentiate between journal and ledger.	M2.01 M2.03	U
6	From the following transactions prepare purchase day book of M/S Ramlal Purchased goods from Mars on credit 20,000 Purchased goods from Meenu 15,000 Goods returned to Manu 2,000 Bought furniture for 15,000 Bought goods from Zenu 12,000 Cash purchases 13,500	M3.01	A
7	Record the following transactions in single column cash book 1. Balance of cash in hand 8000 2. Received cash from Anand on account 2000 3. Paid to Kumar on account 1500 4. Purchased goods for cash 2400 5. Received interest 150 6. Received commission 250 7. Paid wages 1500 8. Sold goods for cash 1800	M3.02	A
8	Distinguish between trial balance and balance sheet.	M3.02 M4.03	U
9	Describe financial statements.	M4.01	U
10	List out the characteristics of balance sheet.	M4.03	U

PART C

Answer all questions. Each question carries seven marks

(6 x 7 = 42 Marks)

III	Briefly explain basic accounting principles.	M1.02	U
	OR		
IV	Demonstrate the basic accounting equation with simple example.	M1.03	U
V	On 1st November, 2020 Mr. Rachit started a Readymade garments business in Lalitpur. Mr. Rachit invested Rs 5,00,000	M2.02	A

	1. Cash deposited into the bank Rs. 300,000 2. Goods purchased for cash Rs 80,000 at 25% trade discount. 3. Sewing Machinery Purchased for cash Rs. 55,000 and installation expenses paid Rs. 5,000 4. Computer Purchased paid by chequeRs. 5,000. 5. Goods sold for Cash Rs. 70,000. 6. Goods purchased from Dinesh & company Rs. 1,25,000. 7. Goods Sold to Mohit& Brother Rs.20,00,000 at 40% trade discount . Pass necessary journal entries for the above transactions with suitable narration		
VI	OR Journalise the following transactions in the books of Moon Aug 10th : Moon commenced business with a capital of 1,50,000 11th : Cash deposited into bank 50,000 12th : Bought equipment for 15,000 13th : Bought goods worth 20,000 from Star and payment made by cheque 14th : Sold goods to Sun for 15,000 and payment received through cheque 16th : Paid rent by cheque 5,000 17th : Took loan from Mr. Storm 25,000	M2.02	A
VII	Prepare a single column cash book from the following :- 2003 march 1. Opening balance: CashRs.8350 BankRs.2000 2. Paid into bank4000 3. Received cash from Biju5900 4. Paid cash to Mohan1400 5. Received interest.425 6. Cash sales3900 7. Received a cheque from Biju1500 8. Withdrew cash from bank for office use2500 9. Salary paid800 10. Paid rent1000 OR	M3.02	U

VIII	Prepare Sales Day Book for the month of March 2018 from the following particulars:		M3.01	U
	Date	Description (name of supplier, product details, unit price, qty)		
	1	Sold to PANCHAMI STORES on credit- 25 dining room chairs @ Rs. 420 2 dining room tables @ Rs. 3000 1 showcase for Rs . 2250 Less trade discount 10%		
	7	Sold on credit to miller 5 dining room sideboard @ Rs.1250 5 dinner wagon @ Rs.4750 Less trade discount 5%		
	11	Sold on credit to general library 10 reading room chairs @ Rs. 725 2 hall stand @ Rs.1950 Cash sales to Harris brothers 10000		
	22	Sold to Taylor 15 study tables @ Rs.2750 10 chairs @ Rs. 540		
IX	Explain the different types of errors.		M3.03	U
	OR			
X				
	Prepare Trail balance from the following:		M3.02	A
		Rs.		
	Capital	50000		
	Sundry creditors	49000		
	Sales	60000		
	Returns outwards	1000		
	Stock	20000		
	Machinery	22000		
	Sundry debtors	40000		
	Purchases	35000		
	Cash	21100		
	Return inwards	1900		
	Salaries	6000		
	Rent	4000		
	Furniture	10000		

XI	From the following determine the amount of operating profit <table><thead><tr><th>Particulars</th><th>Amount</th></tr></thead><tbody><tr><td>Opening stock</td><td>1,700</td></tr><tr><td>Purchases</td><td></td></tr><tr><td> Cash</td><td>23,000</td></tr><tr><td> Credit</td><td>71,000</td></tr><tr><td>Sales</td><td></td></tr><tr><td> Cash</td><td>38,000</td></tr><tr><td> Credit</td><td>1,20,500</td></tr><tr><td>Direct expenses</td><td>22,000</td></tr><tr><td>Sales returns</td><td>1,400</td></tr><tr><td>Purchase returns</td><td>1,200</td></tr><tr><td>Operating expenses</td><td>9000</td></tr><tr><td>Closing stock</td><td>2,800</td></tr></tbody></table> OR	Particulars	Amount	Opening stock	1,700	Purchases		Cash	23,000	Credit	71,000	Sales		Cash	38,000	Credit	1,20,500	Direct expenses	22,000	Sales returns	1,400	Purchase returns	1,200	Operating expenses	9000	Closing stock	2,800	M4.01	A
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Closing stock	2,800																												
XII	State the meaning of balance sheet and explain the need and importance of balance sheet.	M4.03	U																										
XIII	Prepare Trading and Profit and Loss account from the following ledger account balances. Stock on hand on 31.12.2018 Rs.30, 000 <table><thead><tr><th></th><th>Debit(Rs)</th><th>Credit (Rs)</th></tr></thead><tbody><tr><td>Stock</td><td>36500</td><td></td></tr><tr><td>purchases</td><td>65000</td><td></td></tr><tr><td>Manufacturing Wages</td><td>16100</td><td></td></tr><tr><td>Carriage Inward</td><td>1675</td><td></td></tr><tr><td>Salaries</td><td>7600</td><td></td></tr><tr><td>Rent rate taxes</td><td>4260</td><td></td></tr><tr><td>Return inwards</td><td>1315</td><td></td></tr></tbody></table>		Debit(Rs)	Credit (Rs)	Stock	36500		purchases	65000		Manufacturing Wages	16100		Carriage Inward	1675		Salaries	7600		Rent rate taxes	4260		Return inwards	1315		M4.01	A		
	Debit(Rs)	Credit (Rs)																											
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XIV		Sales return	2400		M4.03	A
		Purchase Return		1365		
		Sales		121000		
		Interest		635		
	OR					
	From the following particulars prepare balance sheet.					
		Capital	40000			
		Premises	50000			
		Furniture	7500			
		Bills receivable	3500			
		Bills payable	12500			
		Debtors	21000			
		Creditors	14800			

FIRST SEMESTER DIPLOMA EXAMINATION IN MANAGEMENT

BASIC ACCOUNTING

MODEL QUESTION PAPER – SET-2

Time: 3 hours

Maximum Marks: 75

Part A**I. Answer all questions in one word or one sentence. Each question carries one mark.****(9 x 1 = 9 Marks)**

1	State the basic accounting equation.	M1.03	U
2	List out the types of assets.	M1.02	U
3	State the meaning of journal.	M2.01	R
4	Give the meaning of account.	M2.03	R
5	Recall the meaning of suspense account.	M3.03	R
6	Write the meaning of compensating error with a simple example.	M3.03	U
7	State the meaning of journal proper.	M3.01	R
8	State any two uses of financial statements.	M4.01	U
9	State the equation for determining cost of goods sold	M4.01	U

PART B**II. Answer any eight questions from the following. Each question carries 3 marks****(8 x 3 = 24 Marks)**

1	List out the limitations of financial accounting.	M1.01	U
2	Explain any three accounting principles.	M1.02	U
3	Narrate the process of posting.	M2.03	U
4	Write a note on :- i. Simple journal entry ii. Compound journal entry iii. Contra journal entry	M2.02	U

5	Briefly explain about cash book	M3.02	U
6	From the following transactions prepare sales day book of M/S Kamath bros. Sold goods to Jane 13,500 Cash sales 15,000 Sold goods to Sonu 20,000 Sold goods to Tanu for cash 16,000 Goods Sold to Mohit & Brother Rs.20000 Sold part of the furniture for 1,000	M3.01	A
7	Record the following transactions in single column cash book AMOUNT in Rs. 2020 march 1. Opening balance: 8350 2. Paid into bank 4000 3. Received cash from biju 5900 4. Paid cash to mohan 1400 5. Received interest 425 6. Cash sales 390 7. Withdrew cash for personal use 1500	M3.02	A
8	Distinguish between profit and loss account and balance sheet.	M4.02 M4.03	U
9	Outline the items included in the trading account.	M4.01	U
10	List out the importance of balance sheet.	M4.03	U

PART C

Answer all questions. Each question carries seven marks

(6 x 7 = 42 Marks)

III	Briefly explain basic accounting concepts.	M1.02	U
	OR		
IV	Define Assets, Liabilities and Capital and state the accounting equation in terms of these with examples	M1.03	U
V	Pass necessary journal entries for the following transactions with suitable narration	M2.02	A
	1. Sam Started business with cash	Rs. 15000	
	2. Paid into bank	Rs.5000	
	3. Purchased goods from Krishna	Rs. 1500	
	4. Sold goods to John on credit	Rs. 1000	

	5. Returned goods to Krishna 6. purchase of goods for cash 7. Paid rent	Rs. 500 Rs. 8250 Rs. 1000											
	OR												
VI	Explain the rules of debit and credit of different accounts.	M2.02	U										
VII	Prepare a single column cash book from the following :- 2013 march 1 opening balance: 1900 Purchased goods for cash 1200 Sold goods for cash 3000 Purchased stationary 150 Received commission 350 Paid into bank 2400 Withdrew cash from bank 750 Paid rent 450 OR	M3.02	A										
VIII	Write up the PURCHASE DAY BOOK of vimal from the following information	M3.01	A										
	<table><tr><th>Date</th><th>Description (name of customer, product details, unit price, qty)</th></tr><tr><td>1</td><td>Purchased from Anil- 5 wooden tables @ Rs 135 per table</td></tr><tr><td>11</td><td>Purchased from Rajas- 2 dressing tables @ Rs. 275 each Purchased from Hameed –one type writer for Rs. 1500</td></tr><tr><td>19</td><td>Purchased from Gopi- 2 dining tables @ Rs. 1200 per table, trade discount 10%</td></tr><tr><td>21</td><td>Purchased from Anil- 50 chairs, @ Rs. 45 per chair Purchased from Gopi 2 steel cabinets @1500 each Cash purchase from Rajasree -2 wooden table @1750 each</td></tr></table>	Date	Description (name of customer, product details, unit price, qty)	1	Purchased from Anil- 5 wooden tables @ Rs 135 per table	11	Purchased from Rajas- 2 dressing tables @ Rs. 275 each Purchased from Hameed –one type writer for Rs. 1500	19	Purchased from Gopi- 2 dining tables @ Rs. 1200 per table, trade discount 10%	21	Purchased from Anil- 50 chairs, @ Rs. 45 per chair Purchased from Gopi 2 steel cabinets @1500 each Cash purchase from Rajasree -2 wooden table @1750 each		
Date	Description (name of customer, product details, unit price, qty)												
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IX	Discuss the different types of errors with examples.	M3.03	U										
	OR												
X	Prepare Trail balance from the following: Rs. Capital 22000	M3.02	A										

	Sundry creditors49000 Sales22700 Returns outwards350 Stock6500 Machinery2700 Sundry debtors40000 Purchases8850 Cash7300 Return inwards1500 Salaries4500 Rent1770 Furniture12000 Carriage300 Discount received370																						
XI	From the following determine the amount of gross profit <table><tr><th>Particulars</th><th>Amount</th></tr><tr><td>Opening stock</td><td>5000</td></tr><tr><td>Purchase</td><td>24000</td></tr><tr><td>Sales</td><td>60000</td></tr><tr><td>Direct expenses:</td><td></td></tr><tr><td>Wages</td><td>1250</td></tr><tr><td>Factory rent</td><td>400</td></tr><tr><td>Sales returns</td><td>1000</td></tr><tr><td>Purchase returns</td><td>1200</td></tr><tr><td>Closing stock</td><td>15000</td></tr></table> OR	Particulars	Amount	Opening stock	5000	Purchase	24000	Sales	60000	Direct expenses:		Wages	1250	Factory rent	400	Sales returns	1000	Purchase returns	1200	Closing stock	15000	M4.01	A
Particulars	Amount																						
Opening stock	5000																						
Purchase	24000																						
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XII	Draw the proforma of Balance sheet in the order of liquidity.	M4.03	U																				
XIII	Prepare Trading and Profit and Loss account from the following ledger account balances. Stock on hand on 31.12.2020 Rs.13000 <table><tr><th></th><th>Debit(Rs)</th><th>Credit (Rs)</th></tr><tr><td>Stock</td><td>7100</td><td></td></tr><tr><td>purchases</td><td>25300</td><td></td></tr><tr><td>Carriage Inward</td><td>1600</td><td></td></tr><tr><td>Salaries</td><td>3300</td><td></td></tr><tr><td>Rent rate taxes</td><td>1950</td><td></td></tr></table>		Debit(Rs)	Credit (Rs)	Stock	7100		purchases	25300		Carriage Inward	1600		Salaries	3300		Rent rate taxes	1950		M4.01 M4.02	A		
	Debit(Rs)	Credit (Rs)																					
Stock	7100																						
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		Sales return	1900	
		Purchase Return		3200
		Sales		45000
		Interest		635
		Carriage outwards	600	
		wages	3500	
		General expenses	1150	
		discount	310	730
		commission		1050
XIV		OR		
	From the following particulars prepare balance sheet.			